

THE EFFECT OF E-COMMERCE ON TRADITIONAL RETAIL BUSINESSES

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DECLARATION

I hereby declare that the project work reported entitled ‘The effect of e-commerce on traditional retail businesses’ submitted for the BBA is my original work and the project report has not formed the basis for the award of any degree, diploma, or any other similar titles.

Signature

Name of the student: Sagar Acharya_____

Date: 12th July, 2024_____

CERTIFICATE

This is to certify that the project work titled ‘The effect of e-commerce on traditional retail businesses’ submitted by Sagar Acharya .Roll No: 21030162 for the partial fulfilment of the requirement of BBA embodies the appreciable work done by him under my supervision.

.....

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Date:

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Thank you

Sagar Acharya

EXECUTIVE SUMMARY

This study investigates the impact of e-commerce on traditional retail businesses in Nepal, aiming to understand customer behavior, the challenges faced by both e-commerce and traditional retailers, and strategies for effective integration of e-commerce. The rapid growth of e-commerce, accelerated by the COVID-19 pandemic, has significantly disrupted the traditional retail landscape, making it essential to analyze these dynamics to guide future strategies.

The research utilized a questionnaire survey method to collect data from 75 respondents, including 25 customers, 25 e-commerce business owners, and 25 traditional retailers. The analysis revealed a diverse demographic, with respondents predominantly aged between 31-40 years. Notably, 48% of customers reported that they often shop online, driven by convenience and variety, though concerns about product quality, delivery times, and payment security persist.

E-commerce business owners highlighted significant challenges, such as delivery issues (76%) and payment security concerns (76%). Building customer trust emerged as a critical issue, with 52% of e-commerce businesses struggling in this area. Despite these challenges, the COVID-19 pandemic positively impacted e-commerce sales, with 44% of businesses reporting some increase and 12% a definite increase in sales.

Traditional retailers are experiencing a decline in foot traffic and sales, facing substantial barriers in adapting to new technologies and competing with online businesses. However, there is a growing recognition of the need to integrate e-commerce strategies to remain competitive. The study recommends that traditional retailers adopt digital strategies, improve customer experience, upgrade technological infrastructure, and collaborate with e-commerce platforms. E-commerce business owners are advised to address logistical challenges, enhance payment security, and build customer trust through transparent policies and responsive service.

Policymakers and industry stakeholders should develop supportive policies, facilitate access to resources, and promote digital literacy. These measures will equip traditional retailers with the necessary tools to transition to the digital age successfully. In conclusion, the study underscores the transformative impact of e-commerce on Nepal's retail sector, highlighting the need for both traditional retailers and e-commerce businesses to adapt and thrive in the evolving digital marketplace. Implementing these recommendations will ensure sustainable growth and competitiveness in the digital age.

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CHAPTER I

Introduction

1.1 Background of the study

The evolution of e-commerce in Nepal has been a gradual yet transformative process, echoing global trends in digital commerce. Traditional retail businesses have long been the cornerstone of Nepal's economy, providing employment opportunities and serving as vital hubs for local communities. However, with the advent of e-commerce platforms, the retail landscape is undergoing a significant shift.

E-commerce, defined as the electronic buying and selling of goods and services, has gained traction in Nepal due to advancements in technology and increased internet penetration. Consumers are increasingly turning to online platforms for their shopping needs, attracted by the convenience, accessibility, and diverse range of products offered. This transition has challenged traditional retail businesses, which operate through physical storefronts, to adapt to changing consumer preferences and market dynamics.

The COVID-19 pandemic has further accelerated the adoption of e-commerce in Nepal. Lockdowns and social distancing measures have restricted physical shopping, prompting consumers to rely more heavily on online channels. Traditional retail businesses have been particularly hard-hit, facing challenges such as reduced foot traffic, inventory management issues, and the need to implement stringent health and safety measures.

In response to these challenges, many traditional retailers in Nepal have begun exploring e-commerce as a means of diversifying their revenue streams and reaching a wider audience. However, the transition to e-commerce is not without its hurdles. Logistical challenges, such

as last-mile delivery in remote areas, and concerns regarding online payment security and customer trust, pose significant barriers for traditional retailers looking to establish their online presence.

Despite these challenges, several pioneering companies have emerged as key players in Nepal's e-commerce landscape. These companies have played a crucial role in driving the adoption of e-commerce and shaping the future of retail in the country. Their innovative strategies and investment in technology have helped to overcome some of the barriers to entry and accelerate the digital transformation of the retail sector.

Given the rapid pace of change in the retail landscape, understanding the impact of e-commerce on traditional retail businesses in Nepal is essential. This research aims to provide valuable insights into consumer behavior, market trends, and the challenges and opportunities faced by both sectors. By shedding light on these dynamics, the research seeks to find how e-commerce is affecting the traditional retail businesses and to inform strategies for sustainable growth and adaptation in the digital age, ensuring that Nepal's retail sector remains resilient and competitive in the years to come.

1.2 Objectives of the study

- To find out how e-commerce is affecting the traditional retail businesses in Nepal
- To identify challenges faced by traditional retail businesses

- To inform strategies to ensure Nepal's retail sector's sustainability and adaptation to digital age

1.3 Statement of the problem

The rapid expansion of e-commerce in Nepal is disrupting traditional retail businesses, which struggle to compete with the convenience, pricing, and product variety of online platforms. The COVID-19 pandemic has intensified this shift, accelerating online shopping adoption due to lockdowns and social distancing measures. Consequently, traditional retailers face declining foot traffic, reduced revenues, and an urgent need to adapt to the digital marketplace.

Traditional retailers encounter several challenges in transitioning to e-commerce, such as logistical issues with last-mile delivery, online payment security concerns, and building customer trust in digital transactions. These businesses often lack the necessary knowledge and resources to effectively integrate e-commerce into their operations.

Given the lack of comprehensive research on e-commerce's impact on traditional retail in Nepal, there is a critical need to explore these specific challenges and develop strategies for successful adaptation. This study aims to investigate the impact on sales and operations, identify primary challenges, and offer strategies for integration. Additionally, it will draw insights from pioneering e-commerce companies to inform traditional retailers' digital transitions, providing actionable strategies to help them thrive in the evolving retail landscape.

1.4 Research Question

- How is the rapid expansion of e-commerce affecting traditional retail businesses in Nepal, and what strategies can traditional retailers adopt to successfully integrate e-commerce and remain competitive in the evolving retail landscape?

1.5 Significance of the Study

- **Insight into E-commerce Impact:** Provides traditional retailers in Nepal with a clear understanding of how e-commerce affects their sales, operations, and customer interactions.
- **Identification of Challenges:** Highlights primary challenges faced by traditional retailers in adopting e-commerce, such as logistical hurdles, payment security concerns, and building customer trust.
- **Actionable Strategies:** Offers practical strategies and best practices for integrating e-commerce into traditional retail operations, informed by successful e-commerce companies in Nepal.
- **Guidance for Policymakers:** Provides valuable insights for policymakers and industry stakeholders to develop supportive policies and initiatives that balance the growth of e-commerce with the sustainability of traditional retail businesses.
- **Enhancing Competitiveness:** Equips traditional retailers with the knowledge and tools to enhance their digital presence, improve customer service, and optimize logistics and payment processes.
- **Supporting Economic Development:** Contributes to the resilience and competitiveness of Nepal's retail sector, ultimately supporting the country's economic development in the digital age.
- **Informed Decision-Making:** Helps businesses make informed decisions about strategies and investments to successfully navigate the evolving retail landscape.

1.6 Implications

- **Business Strategies:** Retailers can use the study findings to plan their online sales strategies effectively.
- **Better Operations:** The study helps retailers improve their delivery processes, especially in remote areas.
- **Happy Customers:** Retailers can learn how to make online shopping safer and easier for customers.
- **Helpful Rules:** Policymakers can use the study to create rules that support both online and traditional stores.
- **Helping the Country Grow:** By supporting traditional stores in selling online, the study contributes to Nepal's economic growth.
- **Understanding Customers:** Retailers can use insights from the study to improve customer satisfaction and loyalty.
- **Future Research:** The study provides ideas for further research on integrating online and traditional retail.

CHAPTER II

2.1 Literature Review

1. Impact of E-commerce on traditional retail business

The study synthesizes existing literature, analyzes key trends, and discusses the implications for both online and offline retailers. E-commerce, characterized by online platforms, digital marketplaces, and seamless transactions, has not merely become an alternative channel for shopping; it has evolved into a global force, disrupting traditional retail paradigms and redefining the very essence of commerce. The remarkable evolution of e-commerce, born out of the nascent internet era, has transcended its humble beginnings to become an economic powerhouse. What began as a novelty—a means to shop online—has metamorphosed into a ubiquitous force that permeates nearly every facet of our lives. Annual global e-commerce sales have surged into trillions of dollars, and its influence now extends well beyond retail, impacting logistics, finance, marketing, and employment.

2. The rise of e-commerce and its impact on traditional retail

The study highlights how e-commerce has evolved from a mere alternative channel for shopping to a global force that disrupts established retail paradigms. By analyzing existing literature, the paper sheds light on key trends and implications for both online and offline retailers.

The modern retail landscape is undergoing a profound transformation, driven by the relentless advance of technology and changing consumer behaviors. At the heart of this transformation lies the rapid proliferation of e-commerce—an industry that has fundamentally reshaped the way businesses and consumers engage in commerce. E-commerce, characterized by online platforms, digital marketplaces, and seamless transactions, has not merely become an alternative channel for shopping; it has evolved into a global force, redefining the very essence of commerce. The growth of e-commerce has been staggering, with annual global e-commerce sales surging into trillions of dollars. Its influence now extends well beyond retail, impacting logistics, finance, marketing, and employment. Central to the e-commerce revolution is its profound impact on consumer behavior. Shoppers today have at their fingertips an unprecedented level of convenience, choice, and control. They can browse, compare, and purchase products and services from the comfort of their homes or on the go, often with same-day or next-day delivery options. This shift in consumer preferences, characterized by a preference for digital interactions and personalized experiences, has placed traditional retailers in a position where they must adapt or risk obsolescence.(Areesha Ahmed,2023)

3. The influence of e-commerce development on traditional retail industry

Central to the e-commerce revolution is its profound impact on consumer behavior. Shoppers today have at their fingertips an unprecedented level of convenience, choice, and control. They can browse, compare, and purchase products and services from the comfort of their homes or on the go, often with same-day or next-day delivery options. The remarkable evolution of e-commerce, born out of the nascent internet era, has transcended its humble beginnings to become an economic powerhouse. What began as a novelty—a means to shop online—has metamorphosed into a ubiquitous force that permeates nearly every facet of our lives.(Fengxian Yang,2022)

4. The impact of e-commerce on traditional brick-and-mortar retail stores (Journal of Business

By conducting a thorough review of the literature and analyzing relevant data, the study sheds light on the intricate dynamics between e-commerce and brick-and-mortar retail. The rapid proliferation of e-commerce has fundamentally reshaped the way businesses and consumers engage in commerce. E-commerce, characterized by online platforms, digital marketplaces, and seamless transactions, has not merely become an alternative channel for shopping; it has evolved into a global force, disrupting traditional retail paradigms and redefining the very essence of commerce.

One of the key areas impacted by e-commerce is consumer behavior. Shoppers today have unprecedented convenience, choice, and control. They can browse, compare, and purchase products from the comfort of their homes or on the go, often with same-day or next-day delivery options. This shift in consumer preferences, characterized by a preference for digital interactions and personalized experiences, has placed traditional retailers in a position where they must adapt or risk obsolescence. The coexistence of e-commerce and brick-and-mortar stores presents both challenges and opportunities, and understanding these dynamics is crucial for retailers navigating the evolving landscape.(Mesfer Alsubaie,2016)

5. E-commerce Revolution: Exploring the impact of online shopping

This study delves into the transformative effects of e-commerce on traditional retail businesses, specifically focusing on the realm of online shopping. The paper aims to provide insights into the multifaceted impact of e-commerce, backed by a thorough examination of existing knowledge, theories, and industry trends.

6. The E-commerce Landscape

The advent of the internet and the proliferation of e-commerce platforms have fundamentally reshaped the way businesses and consumers engage in commerce globally. E-commerce, characterized by online platforms, digital marketplaces, and seamless transactions, has transcended its humble beginnings to become an economic powerhouse. Annual global e-commerce sales have surged into trillions of dollars, impacting not only retail but also logistics, finance, marketing, and employment.

7. Consumer Behavior Transformation

Central to the e-commerce revolution is its profound impact on consumer behavior. Shoppers today enjoy unprecedented convenience, choice, and control. With the ability to browse, compare, and purchase products from the comfort of their homes or on the go, consumers exhibit a preference for digital interactions and personalized experiences. Same-day or next-day delivery options further enhance this shift in preferences.

8. Challenges and Opportunities

The coexistence of e-commerce and traditional retail presents both challenges and opportunities. Traditional retailers find themselves at a crossroads: adapt to the digital age or risk obsolescence. Strategies such as enhancing online presence, creating seamless omnichannel experiences, and leveraging data-driven insights become crucial for survival.

9. Study on e-commerce and it's impact on markets and retailers: an overview

The 'internet' has changed the concept of business world. The concept of online buying in India has been suggested to have started since the year 2000 where websites like ebay and

rediff shopping were some of the first few sites to offer electronic products at cheap prices. Since then, numerous brands such as Flipkart, Amazon, etc started to showcase a strong presence in the online market.

E-commerce allows customers to overcome geographical barriers and allows them to purchase products anytime and from anywhere. Online and traditional markets have different strategies for conducting business. Traditional retailers offer fewer assortment of products because of shelf space where, online retailers often hold no inventory but send customer orders directly to the manufacture. The pricing strategies are also different for traditional and online retailers. Traditional retailers base their prices on store traffic and the cost to keep inventory. Online retailers base prices on the speed of delivery.(Chandan Kumar,2018)

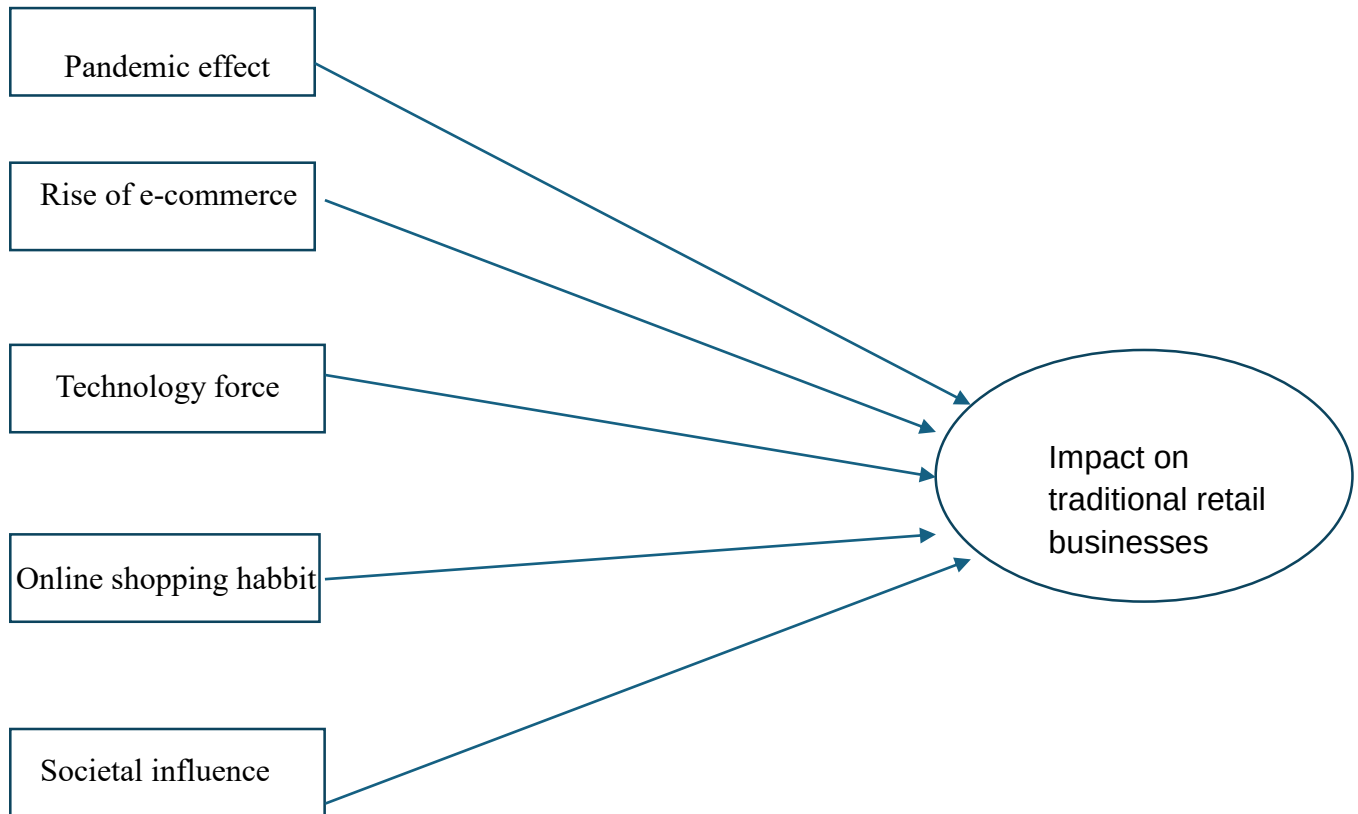
10. The impact of e-commerce on traditional retail business

A comparison of the impact that purchasing online has had on traditional retailers. Traditional stores that are made of brick and mortar are facing significant challenges as a consequence of the proliferation of online shopping and the growing popularity of e-commerce platforms. Internet shopping has had an impact on traditional brick-and-mortar retailers, and it is important to identify the factors that have contributed to the success or failure of these establishments. Through the review of relevant literature, the analysis of relevant industry reports, and the examination of relevant case studies, one can acquire a comprehensive understanding of the impact that e-commerce has on brick-and-mortar retail sales, consumer habits, operational efficiencies, and market competitiveness. In addition to this, it investigates the ways in which traditional retailers are adjusting to the expansion of internet shopping.(Dr.Amina Zahra,2022)

2.2 Theoretical Framework

A theoretical framework is a structure that guides research by relying on a formal theory constructed by using a collection of concepts and their interrelationships. It helps to identify and define the key concepts and variables that are relevant to the research study and clarifies how these variables are expected to relate to each other. Here's an outline of the main components and purposes of a theoretical framework:

Here one dependent variable is impact on traditional retail businesses and independent variables are Covid-19 pandemic, rise of e-commerce, technological forces and etc.



CHAPTER III

3.1 Research Methodology

This study aims to investigate the impact of e-commerce on traditional retail businesses in Nepal, identify the challenges faced by these businesses, and develop strategies for their successful adaptation to the digital marketplace. The research methodology for this study encompasses the following components:

3.1.1 Research Design

A quantitative research design was employed using a structured questionnaire survey to collect data. This approach allows for systematic and objective measurement of variables and provides numerical data for analysis. The quantitative design is particularly suited to this study as it enables the collection of a large amount of data from multiple respondents, which can then be statistically analyzed to identify patterns and trends.

3.1.2 Data Collection

Questionnaire Survey

A structured questionnaire was developed to collect data from three key groups: customers, e-commerce business owners, and traditional retailers. The questionnaire included multiple-choice questions, Likert scale questions, and direct questions to gather specific information about shopping behaviors, business challenges, and perceptions of e-commerce. The questionnaire was designed to be clear and concise, ensuring that respondents could easily understand and complete it.

Customer Questionnaire: This section focused on understanding customer preferences, behaviors, and experiences with online and traditional retail. Questions addressed the frequency of online versus in-store shopping, reasons for preferring online shopping, challenges faced while shopping online, changes in shopping behavior due to COVID-19, and perceptions of how well traditional stores are adapting to e-commerce.

E-commerce Business Owners Questionnaire: This section aimed at identifying the operational challenges and success strategies of e-commerce businesses. Questions covered logistical challenges, online payment security issues, satisfaction with e-commerce platforms, the impact of COVID-19 on sales, customer trust issues, sales performance compared to expectations, and challenges in competing with traditional stores.

Traditional Retailers Questionnaire: This section aimed at identifying the challenges faced by traditional retailers in the context of rising e-commerce and their preparedness to adopt digital solutions. Questions explored competition from online stores, the impact of e-commerce on in-store sales, customer requests for online shopping options, preparedness for e-commerce transition, main challenges in adopting e-commerce, the impact of COVID-19 on business operations, and the importance of customer trust.

3.1.3 Sampling

A purposive sampling technique was used to select respondents who have relevant experiences and insights related to the research topic. The sample size for the study was 75, divided equally among the three groups to ensure balanced representation.

- Customers: 25 respondents were selected to provide insights into consumer behavior and preferences.
- E-commerce Business Owners: 25 respondents were selected to share their experiences and challenges in running online businesses.
- Traditional Retailers: 25 respondents were selected to discuss the impact of e-commerce on their businesses and their readiness to adapt.

The sampling method was chosen to ensure that participants were well-informed and could provide detailed and relevant information about their experiences and perceptions.

3.1.4 Data Analysis

Quantitative data from the questionnaires were analyzed using various statistical methods to ensure comprehensive insights:

Descriptive Statistics: Frequency distributions, percentages, and mean values were calculated to summarize the data and provide an overview of respondent characteristics and key findings.

Inferential Statistics: Correlation and regression analyses were employed to identify relationships between variables, such as the impact of e-commerce on traditional retail sales and the challenges faced by retailers in adopting e-commerce.

The data analysis process involved several steps. First, the data were cleaned and checked for any inconsistencies or missing values. Next, descriptive statistics were used to summarize the data and identify patterns. Finally, inferential statistics were applied to draw conclusions about the relationships between different variables.

3.1.5 Ethical Considerations

The study adhered to strict ethical guidelines to ensure the confidentiality and anonymity of the respondents. Informed consent was obtained from all participants before data collection, ensuring that they were fully aware of the purpose of the study and their right to withdraw at any time. Participants

were assured that their responses would be used solely for research purposes and that their identities would remain confidential. Additionally, the data were stored securely and only accessible to the research team to prevent any unauthorized use or disclosure.

3.1.6 Limitations

The study acknowledges certain limitations that may affect the generalizability of the findings:

- Response Bias: As the data were self-reported, there is a potential for response bias, where respondents may not accurately report their behaviors or experiences.
- Sample Size: The sample size of 75, while sufficient for exploratory analysis, is relatively small and may not represent the broader population of customers, e-commerce business owners, and traditional retailers in Nepal.
- Geographic Scope: The study was conducted in specific regions of Nepal, and the findings may not be generalizable to other regions with different economic conditions or consumer behaviors.

Future research could address these limitations by expanding the sample size, including more diverse geographic regions, and employing additional data collection methods, such as interviews or focus groups, to gain deeper insights.

CHAPTER IV

4.1 DATA PRESENTATION AND ANALYSIS

This section presents the data collected through the structured questionnaire surveys and provides an analysis of the findings. The data is organized and illustrated using various statistical methods and graphical representations to offer a clear and comprehensive understanding of the impact of e-commerce on traditional retail businesses in Nepal.

4.1.1 Data Presentation

The data collected from the three key groups—customers, e-commerce business owners, and traditional retailers—are presented in a series of tables, charts, and graphs. These visual aids help to summarize the responses and highlight the key trends and patterns observed in the study.

4.1.2 Data Analysis

The analysis begins with descriptive statistics to summarize the basic features of the data, including frequency distributions, percentages, and mean values. This provides an initial overview of the respondent demographics and their responses to the survey questions.

Following this, inferential statistics, such as correlation and regression analyses, are used to explore relationships between variables and to test the study's hypotheses. These analyses help to identify significant factors influencing the impact of e-commerce on traditional retail businesses and the challenges faced by these businesses in adapting to the digital marketplace.

The findings from both descriptive and inferential analyses are discussed in detail, providing insights into:

- The extent to which e-commerce has affected traditional retail sales and operations.
- The primary challenges traditional retailers face in adopting e-commerce solutions.
- The strategies and resources needed for traditional retailers to integrate e-commerce effectively.
- The role of COVID-19 in accelerating the shift from traditional to online shopping.
- Lessons from successful e-commerce businesses that can inform traditional retailers' digital strategies.

By combining quantitative data with qualitative insights, this section aims to offer a holistic view of the current state of e-commerce and traditional retail in Nepal. The subsequent illustrations will provide a visual representation of the data, making it easier to interpret and understand the study's findings.

4.2 Demographics Of Respondents

4.2.1 Distribution of respondents by Gender

Table 4.1: Gender of respondents

Gender	Frequency	Percentage
Male	45	60%
Female	28	37.33%
others	1	13.33%
Prefer not to say	1	13.33%
Total	75	100%

The survey received a total of 75 responses. Among the respondents, 28 identified as female, 45 identified as male, and 1 identified as non-binary/other. The remaining respondents chose not to disclose their gender identity

4.2.2 Distribution of respondents by Age group

Table 4.2: Age group distribution of respondents

Age Group	Number of respondents	Percentage
------------------	------------------------------	-------------------

11-20	3	4.00%
21-30	19	25.33%
31-40	27	36.00%
41-50	20	26.67%
51-60	6	8.00%
Total	75	100%

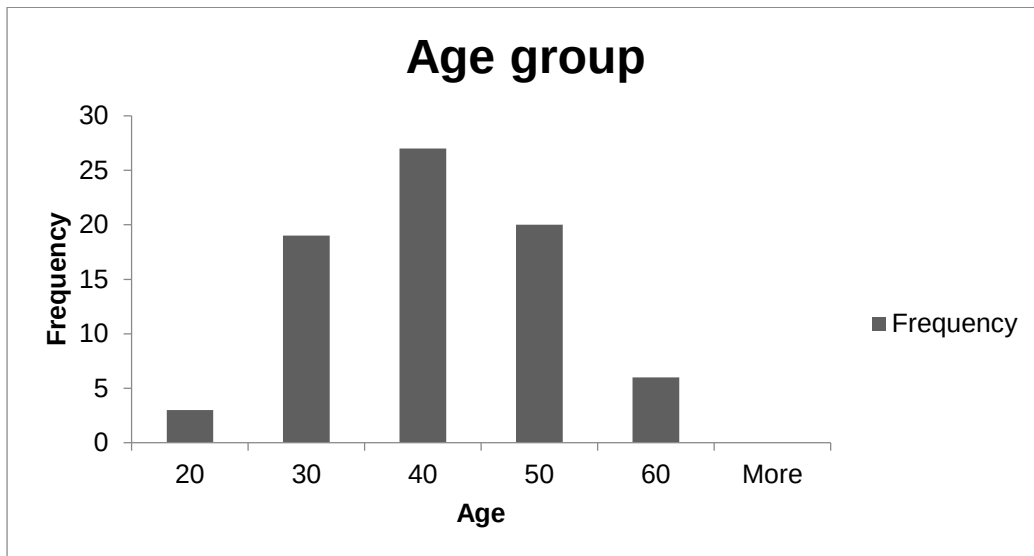


Figure 4.1:Age group of respondents

Above Table4..2 and Figure 4.1 indicates that ,3 respondents are of 11-20 age group, 19 fall under 21-30, 27 of them are of age between 31-40 years,20 respondents are included under 41-50 age interval, and 6 of them are of age 51-60 years.

4.2.3 Respondents category by current status

Table 4.3: Respondent's status

Respondent's status	Count of responses	Percentage
Customer	25	33.33%
E-commerce businessman	25	33.33%
Traditional retailer	25	33.33%

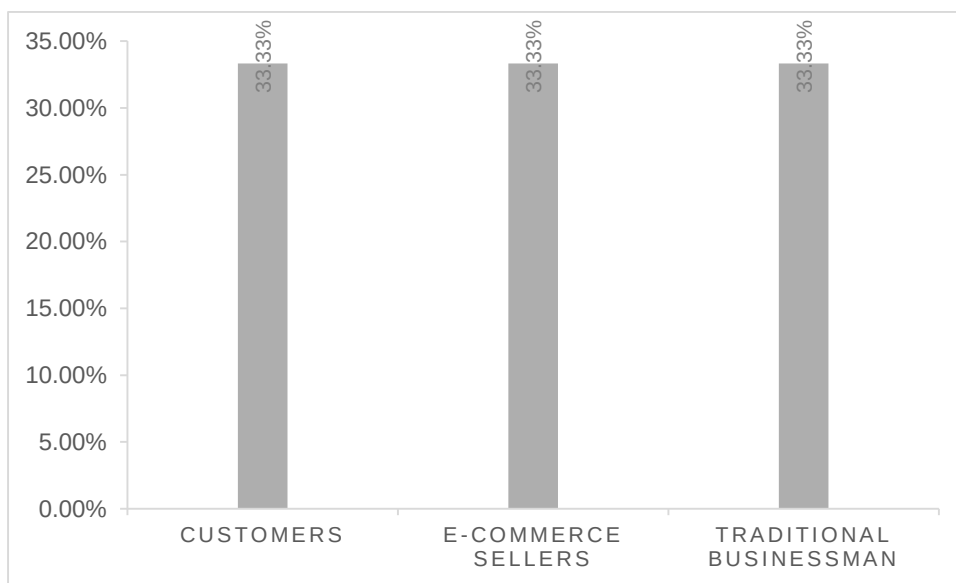


Figure 4.2: Respondent's status

Above Table 4.3 and Figure 4.2 shows that Out of the total 75 respondents chosen for the survey, 25 were e-commerce sellers, 25 were traditional retailers, and 25 were customers.

4.3 Responses of the Customers

The survey gathered insights from 25 customers to understand their shopping behaviors and preferences. Many customers expressed a preference for online shopping due to its convenience and the wider variety of products available. However, some customers still

avored traditional retail stores, appreciating the tactile experience and the ability to obtain products immediately.

The frequency of online shopping varied among customers, with some shopping online regularly and others doing so occasionally. The COVID-19 pandemic significantly influenced shopping behaviors, prompting many customers to increase their online shopping activities due to lockdowns and social distancing measures.

Despite the growing trend toward e-commerce, customers identified several challenges with online shopping. Common concerns included product quality, delivery times, and the security of online payments. Nonetheless, traditional retail continues to hold value for many customers, particularly for its personalized customer service and the opportunity to inspect products before purchase.

These insights reveal a shift towards e-commerce, driven partly by the pandemic, while also highlighting the ongoing importance of traditional retail experiences for many consumers.

Descriptive analysis for likert scale questionnaire

Descriptive analysis is an important step for conducting statistical analyses. Descriptive statistics provide simple summaries about the sample and observations that have been made. Descriptive analysis is done on the basis of measure of mean, median, mode & standard deviation for 5 degree Likert scale statements.

Table 4.4: Descriptive analysis of statements

Statements	Mean	Standard error	Median	Mode	Standard deviation	Sample Variance	Kurtosis
I frequently do online shopping	3.72	0.168523	4	4	0.84261498	0.71	-0.2088017
I prefer online shopping compared to shopping at physical stores	3.8	0.251661148	4	5	1.258305739	1.583333333	-0.882003219

Graphical analysis for the qualitative responses

Why do you prefer shopping online

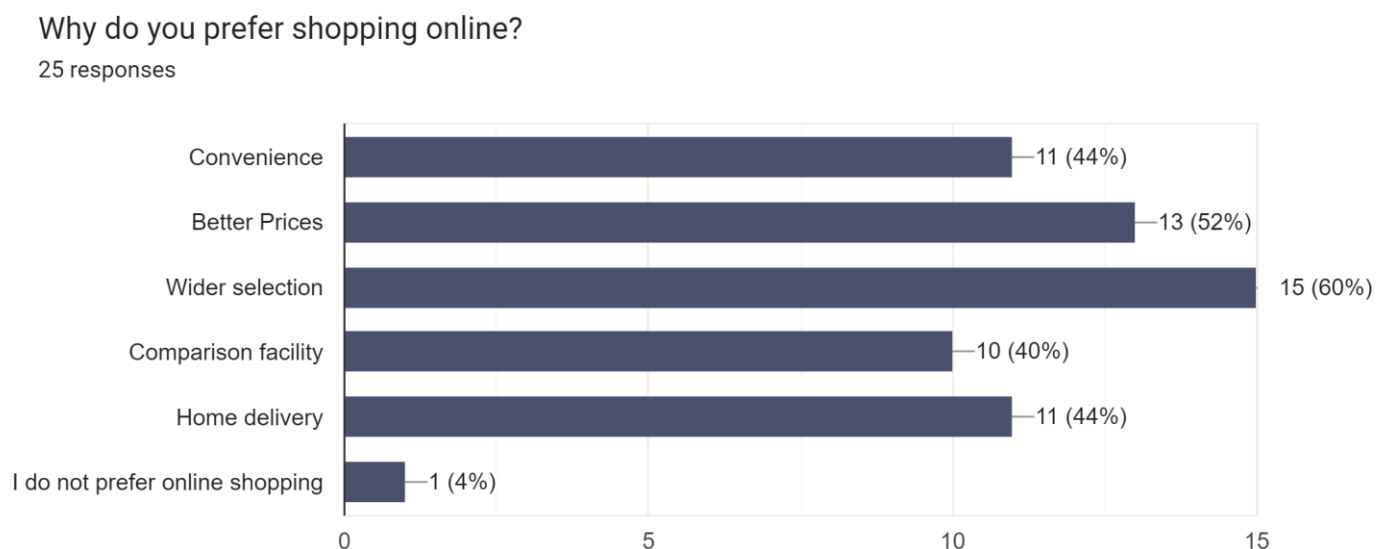


Figure 4.3: Why shopping online

As question delve into finding the reason of them choosing online shopping over shopping at physical stores with the traditional retailers, 60 percent of them chose wider selection provided by the online sellers as the reason that ignites them to shop online. Above *Figure 4.3* shows 11 respondents selected convenience, 13 of them chose better prices, 10 respondents chose comparison facility, 11 of them chose home delivery as the reason behind their preference respectively.

Difficulties faced while shopping online

Table 4.5: Difficulties faced while shopping online

NO. Respondents	Difficulties
1	Damage goods in delivery
1	Delayed in shopping online
1	Delivery of low quality products
1	Different products
1	Duplicate items , low quality
1	I do not trust this
1	Internet issues
3	Late deliveries
2	No
1	Order misplace
1	Possibility of fake items
1	Spams
1	Transaction problem

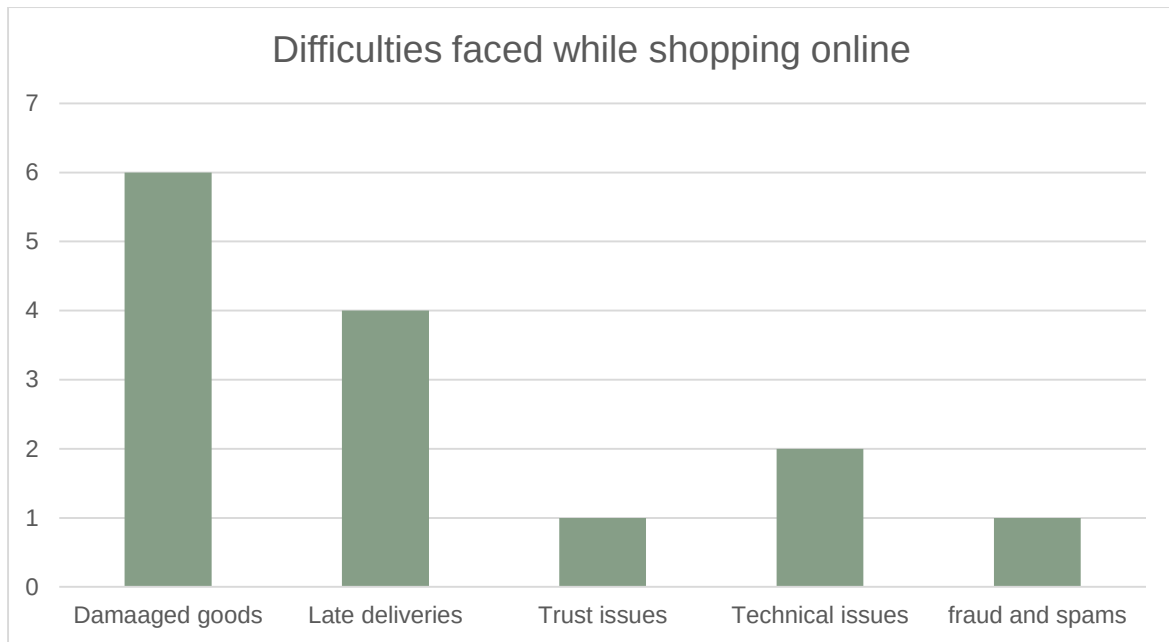


Figure4.4: Difficulties faced while shopping online

To analyze this question thematic analysis is used at this question leads to an open ended answer and thematic analysis is suited for this sort of responses.

As above Table 45. and Figure 4.4 shows that the responses collected from the open ended survey were collected and categorized into various themes. This clearly illustrates that the main difficulty faced while shopping online was getting damaged goods in the delivery.

What would encourage you to shop more from traditional retail store?

What would encourage you to shop more from traditional retail stores?

25 responses

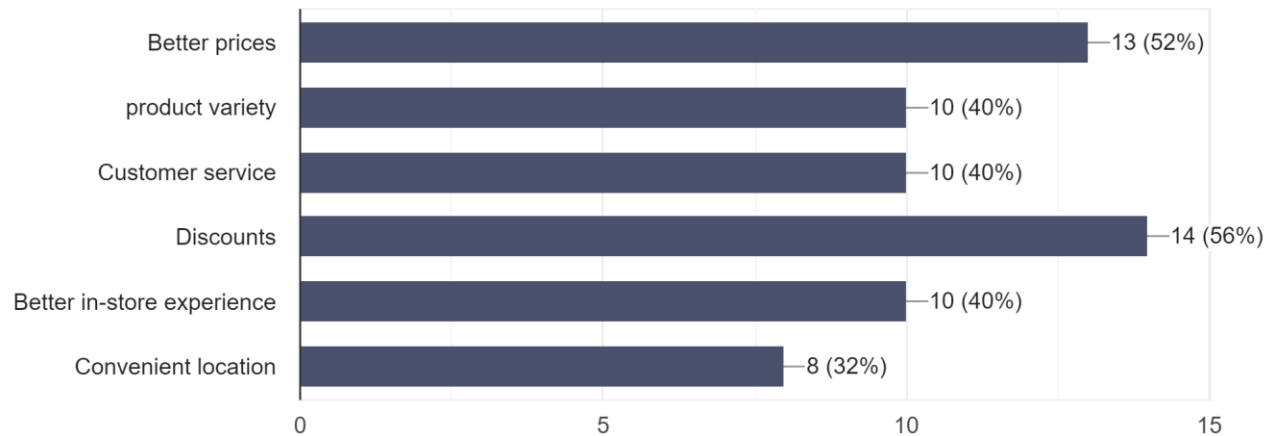


Figure 4.5: Encouraging factor to shop from traditional retailers

Table 4.6: Encouraging factor to shop from traditional retailers

Encouraging factors to shop from traditional retailers	Count of responses
Better prices	13
Product Variety	10
Customer service	10
Discounts	14
Bettter in store experience	10
Convenient location	8

For this question, the checklist answer were provided and repondents selected the options which they felt as the encouraging factor to shop more from traditional retail shops. Table 4.6 and Figure 4.5 illustrates the reasons why customers prefer shopping from traditional retail shop, with corresponding percentages indicating the prevalence of each preference.

How has your shopping behavior changed since covid-19?

Table 4.7: Change of shopping behaviour after COVID-19

Shopping Behavior	Count of response
Decreased online shopping	1
Increased online shopping	17
No change	7



Figure 4.6: Change of shopping behavior after COVID-19

Above Figure 4.6 and Table 4.7 illustrates that out of the total respondents 17 declared that their shopping behaviour have been changed so that online shopping tendency has been increased after covid-19. Most of the respondents responded that their buying behavior has been changed due to the covid pandemic and the rise of e-commerce thereafter.

Do you feel that traditional retail businesses are adequately adopting to the rise of e-commerce?

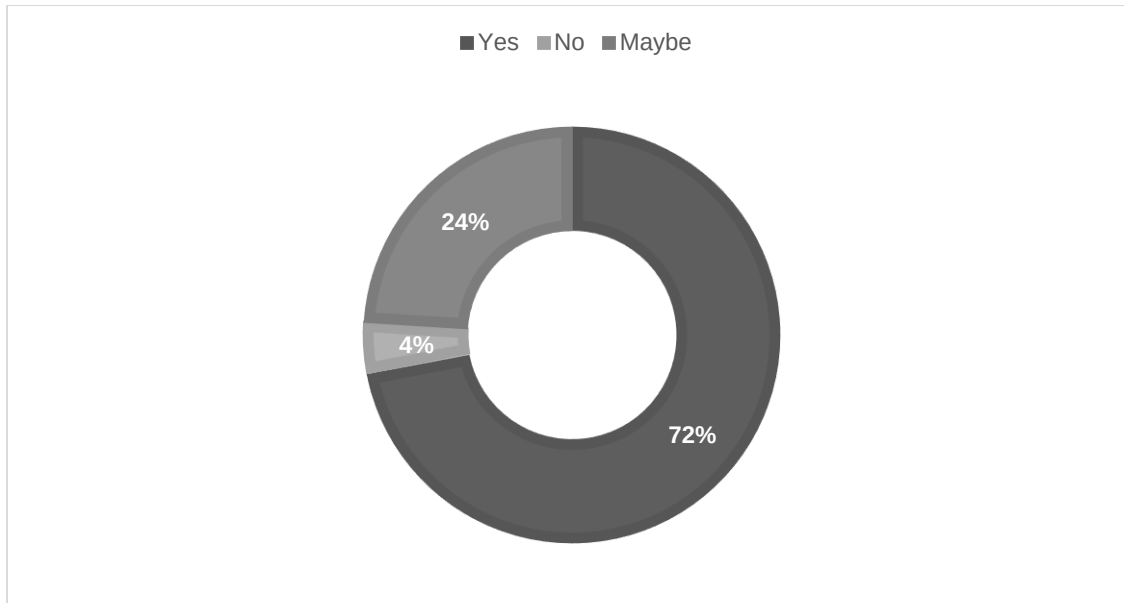


Figure 4.7: Traditional retailers are adequately adopting e-commerce

This question aimed to seek customer's feedback regarding the shift to online business of Neplease businesses. Out of the total respondents, 72% agreed that traditional retail businesses are adequately adopting to e-commerce, 24% of them feel that traditional retailers are not adequately adopting to e-commerce.

4.4 Responses of the E-commerce businessman

This section reveals the insights provided by e-commerce businessman upon our questionnaire. There were 25 e-commerce businessman in total who participated to our survey. However, few of them didn't provide their business name and other information which they don't feel open about

Table 4.8: E-commerce sellers

Business Name	What do they sell
LMD company	Organic cosmetics and wellness products
Flow the fashion	clothes
cake prasad	Cakes, bakery
Sabhyata international	interior
Stellar home tution	Home tution service
Rapcheek	Online aged whiskey
Idea	IT service
Liquor shop	Cold wines beer and whiskey
Hotel	Food stuffs , momo ,chowmein, pizza, burger etc
Stationary	Books and materials for school cond colleges
AS collection	clothing
Unique collection	Suits and pants
Cosmetics	Cosmetic items
Divine collection	warddrobe
Govindaas skirt	skirts
Keshav books	books
Ace interior	Interior designing service
Bajra online store	Mobile and gadegts

Mitho cake	cakes
Bhattarai online books	Books and stuffs
Khadka dhuwani sewa	Transportation and logistics
Chittikka shoe center	shoes
Sneakers bazar	Shoes, sneakers

4.4.1 We face delivery challenges frequently

Table 4.9: Facing delivery challenges

Statement	We face delivery challenges frequently
Mean	3.12
Standard Error	0.202649122
Median	3
Mode	3
Standard Deviation	1.01324561
Sample Variance	1.026666667
Kurtosis	0.327691917
Skewness	-0.257459359

Above Table 4.9 shows the data extracted from the main data survey sheet where five point likert scale was provided to the respondents to collect the degree of agreement and disagreement to the statement. And hence the descriptive summary is calculated accordingly. This data highlights the prevalence of delivery challenges for e-commerce businesses. Being Mode, Median, and Mean above 3 we can conclude that they face delivery challenges frequently., This data is evidential to show the difficulties faced by e-commerce sellers.

4.4.2 Do you deal with online payment security issues?

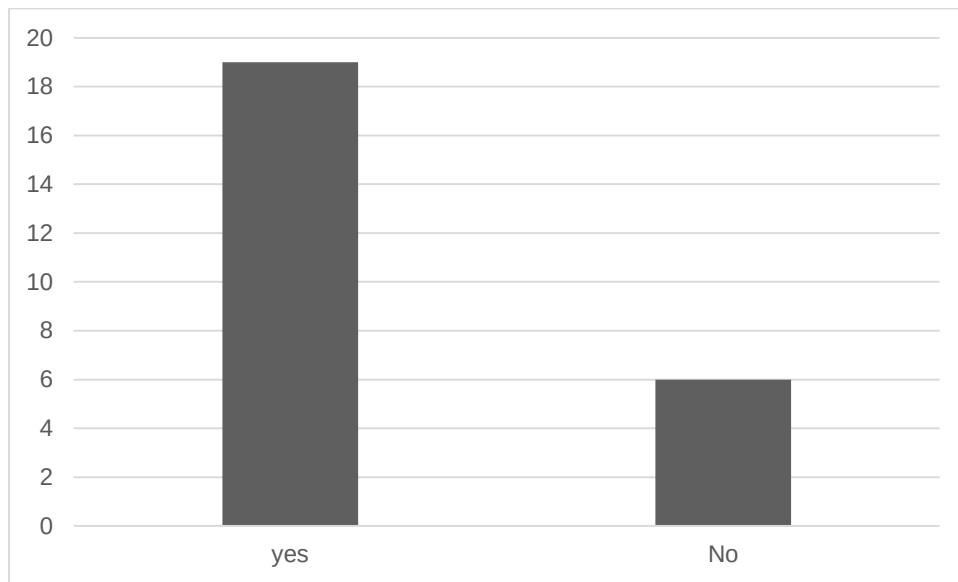


Figure 4.8: Payment security issues

There were 25 e-commerce seller in total , when they asked about the online payment security issues,19 Respondents said YES and remaining 6 respondents said NO. This shows most of the e-commerce sellers face online payment security issues.

4.4.3 How satisfied are you with your e-commerce platform?

How satisfied are you with your e-commerce platform?

25 responses

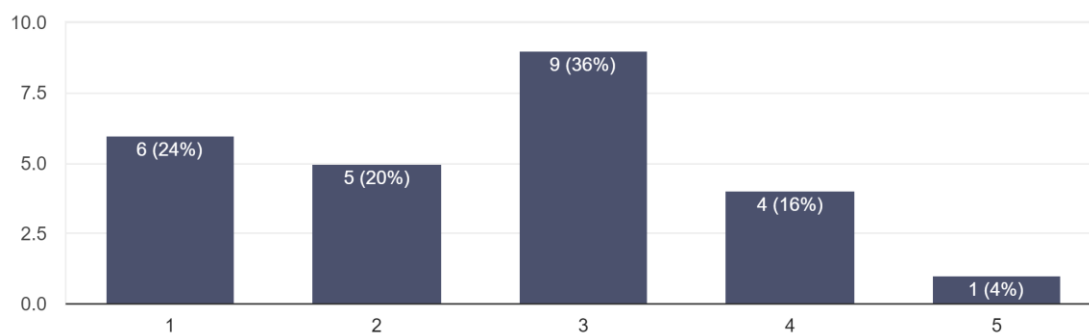


Figure 4.9: Satisfaction towards e-commerce platform

This chart Figure 4.9 shows the ratings given by e-commerce sellers to their e-commerce platforms. Where majority of them have given average rating i.e 9 out of 25 gave rating of 3. This way the chart shows the overall ratings given by all of the respondents.

4.4.4 How has Covid-19 affected your sales?

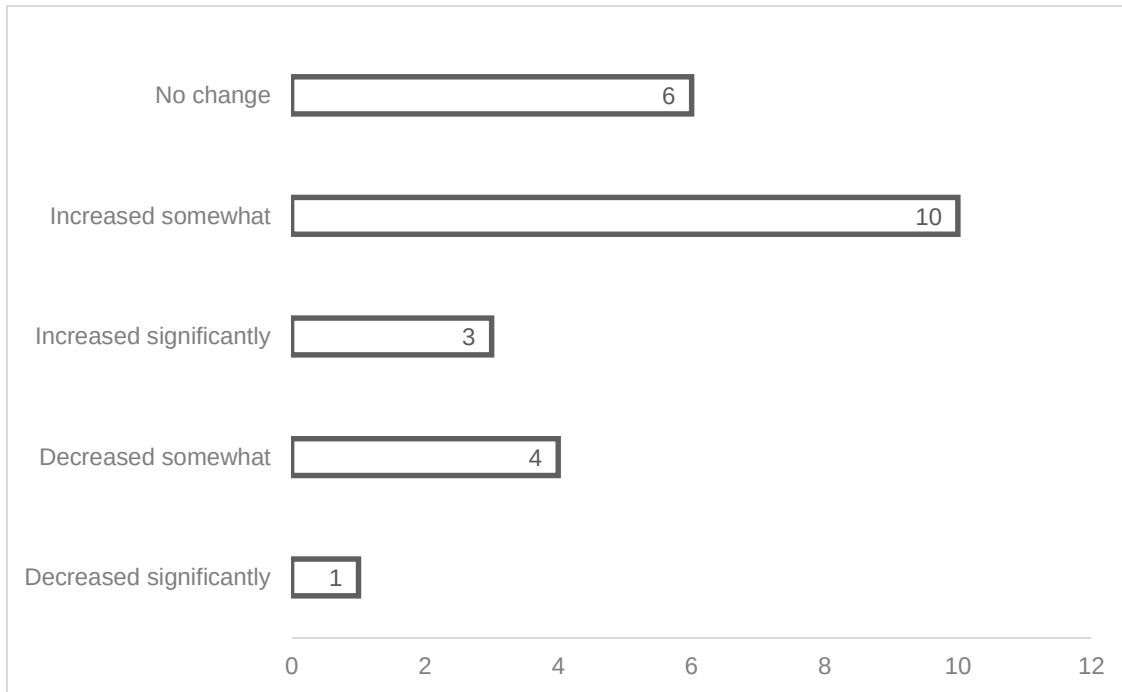


Figure 4.10: Covid effect on sales

This question is aimed to analyze the effect of covid 19 on the sales of e-commerce. Upon this question most of the respondents answered that their sale has been increased due to covid-19. Looking at the data, 44% of them declared that their sales has been increased somewhat after covid-19, 12% of them were totally sure about their sales increment after covid-19. This data shows there is rise and growth of e-commerce businesses in nepal after covid-19.

4.4.5 I struggle with customer trust.

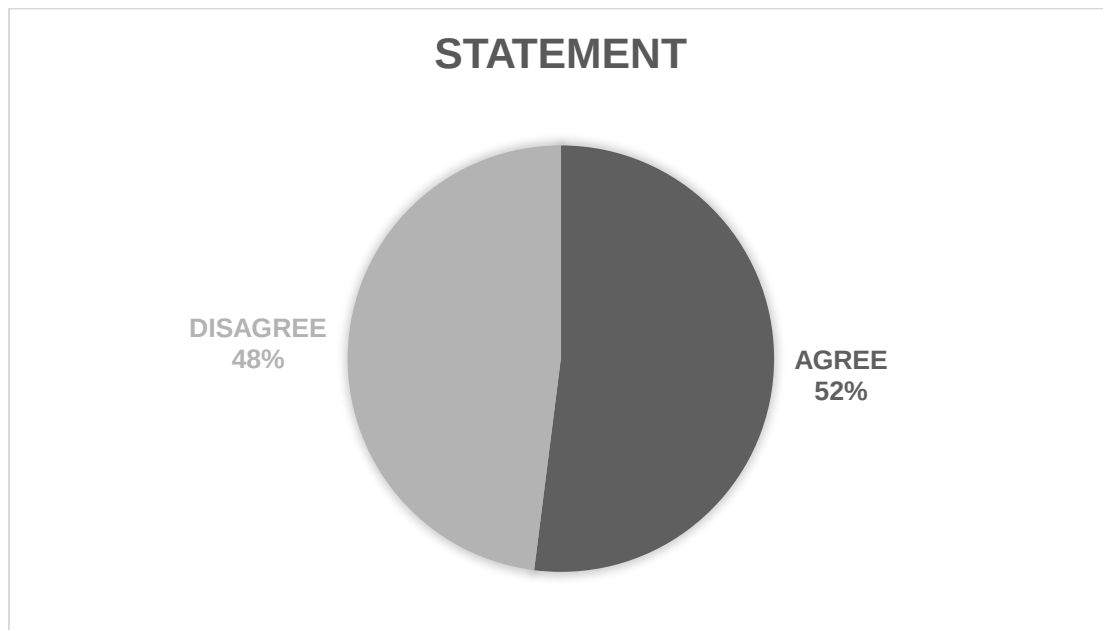


Figure 4.11: Struggle with customer trust

Out of total e-commerce sellers asked, 52% of them agreed with the statement while 48% of them denied the statement.

4.4.6 It is challenging to compete with traditional retailers

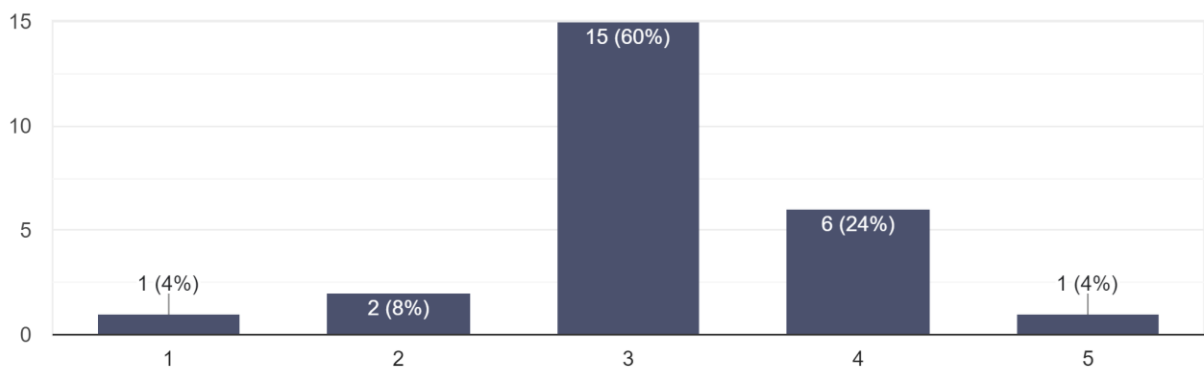


Figure 4.12: Challenges due to competition

Linear rating scale were provided to the respondents to respond to the statement to denote the degree of agreement or disagreement to the statement. Where majority(60%) of the respondent

chose 3 as the neutral option. In total 7 of them declared that it is hard to compete with traditional retailers.

4.4.7 Do you think traditional retailers should also come to e-commerce platform?

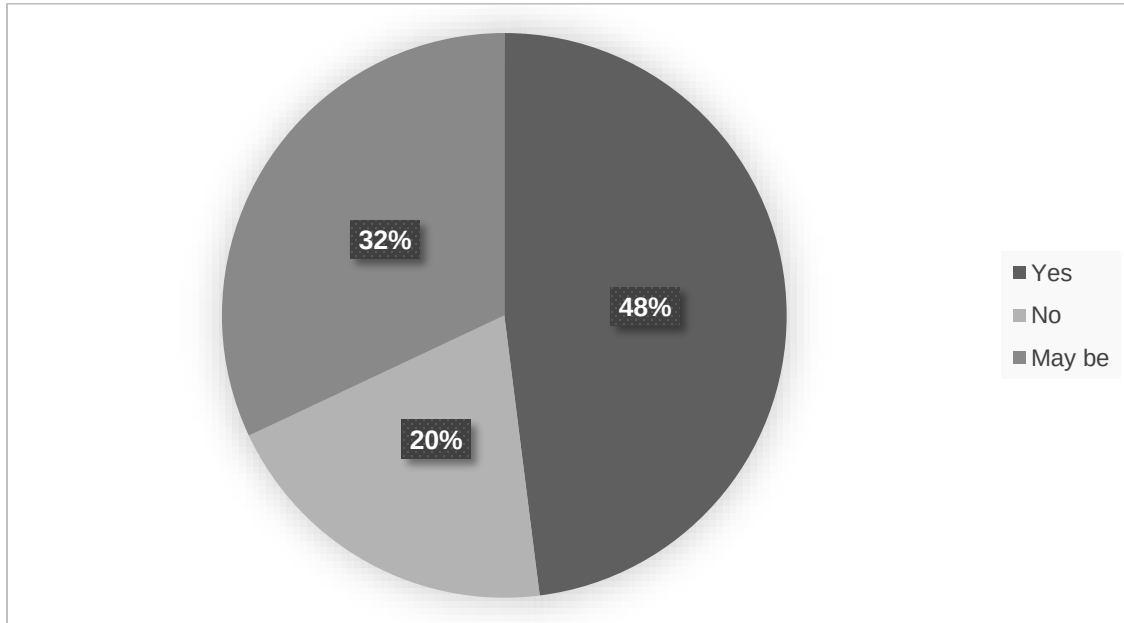


Figure 4.13: Coming to e-commerce

This pie chart indicates that e-commerce sellers also want traditional retailers to come into e-commerce platform and they are ready to face the competition. 48% of the respondents said YES, 32% of them said Maybe and only 20% of them do not think traditional retailers should not come to e-commerce.

4.4.8 Advice to traditional retailers from e-commerce sellers.

During the survey, e-commerce sellers also provided some sort of advice to the traditional retailers who are not yet into e-commerce platforms. Here is brief overview of the advices;

I would like to give traditional retailers advice that they should focus on increasing their presence online because this is a technological world, and we need to move along with technology or else will be left behind with the increase in emphasis of Online shopping need to go online.

Adapting to change is important as well but customer based businesses can be beneficial as well

They should come to e commerce

No idea

No
Whiskey is Medicine to all your problems
They should keep their business more standarized
They should start using online payment facilities to adopt with ongoing trends.
They should make it more easy mode of payment
It would be easy for them
Should adapt e-commerce platforms to increase sales
#Nil
#*To stay competitive, integrate online and offline experiences, leverage technology for better operations, and focus on personalized customer service. Adapt to trends, engage on social media, and offer unique in-store experiences.*
Introduce marketing and technology
#no idea
#come to e commerce
#*Digitalize your business*
#*Grow with internet*

Fundamentally this data should be analyzed by using thematic analysis tool but the theme of the advices given to the traditional retailers do not have significant differences. All of the advices focuses on encouraging them to come to e-commerce to increase their ales and enhance their operation. Due to this nature of the data, no further analysis is required.

4.5 Responses of traditional retailers

This section reveals the insights provided by traditional retailers. There were 25 retailers in total who participated in our survey. Few of them didn't provide some information which they don't feel open about. Introduction of the traditional retailer who participated in the survey is tabulated as follows:

Table 4.10: Traditional retailers

Business Name	What do they sell
Khanal Fashion shop	Clothes
Groceryplace	Groceries
Local kirana shop	All types of foods stuffs, cold drinks, fast foods ...
Meat shop	Meat and eggs
Home appliances	We provide all types of kitchen stuffs for all type of household
Puja pasal	All types of cultura, traditional and things required for poja and religious activities
Bini Clothes	Clothes
Gopals restaurant	Food
Apsara fashion shop	Wardrobe, clothes
Ashmita bakery shop	bakery items
baburam shoe shop	shoes and clothes
sharma fashion shop	clothes, wardrobe
Tiptop shoe center	Mithai
binay electric shop	Electric items
Shailendra kirana pasal	Groceries
Three star jerseys shop	Jersey and sportswears
Jack pet shop	pets

Radha krishna mobile shop	mobile and gadgets
Bitlab mobile shop	mobilephone, gadgets ,watches
Mat hardwares	metals hardwares
Kathmandu gift house	Gift items
Comestrics dot com	Cosmetic items
Sahi tarkari pasal	tarkari , falful
Sindhupalchowk bakery shop	Bakery cakes
Chabahil fruit shop	fruits

4.5.1 Who is your main competitor?

Table 4.11: Main competitor of traditional retailer

Who is your main competitor	Count of responses	Percentage
Traditional retailers	15	60%
E-commerce sellers	10	40%

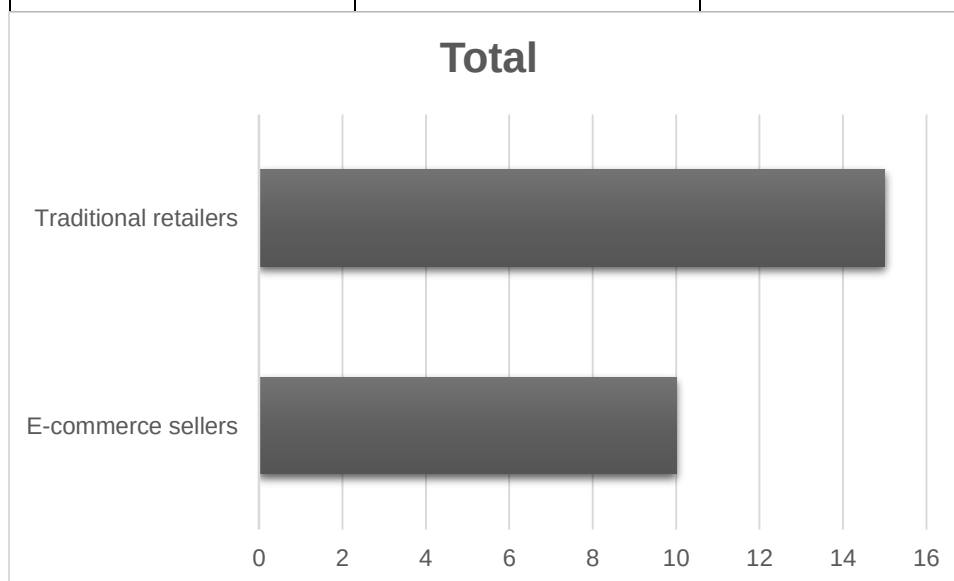


Figure 4.14: Main competitor of traditional retailer

Table 4.11 and Figure 4.14 illustrates that 60 percent of the traditional retailers believe that their main competitors are the traditional retailers but not the e-commerce sellers. Although 40% of them consider e-commerce sellers as their main competitor.

4.5.2 How often do you face challenges due to competition from online stores?

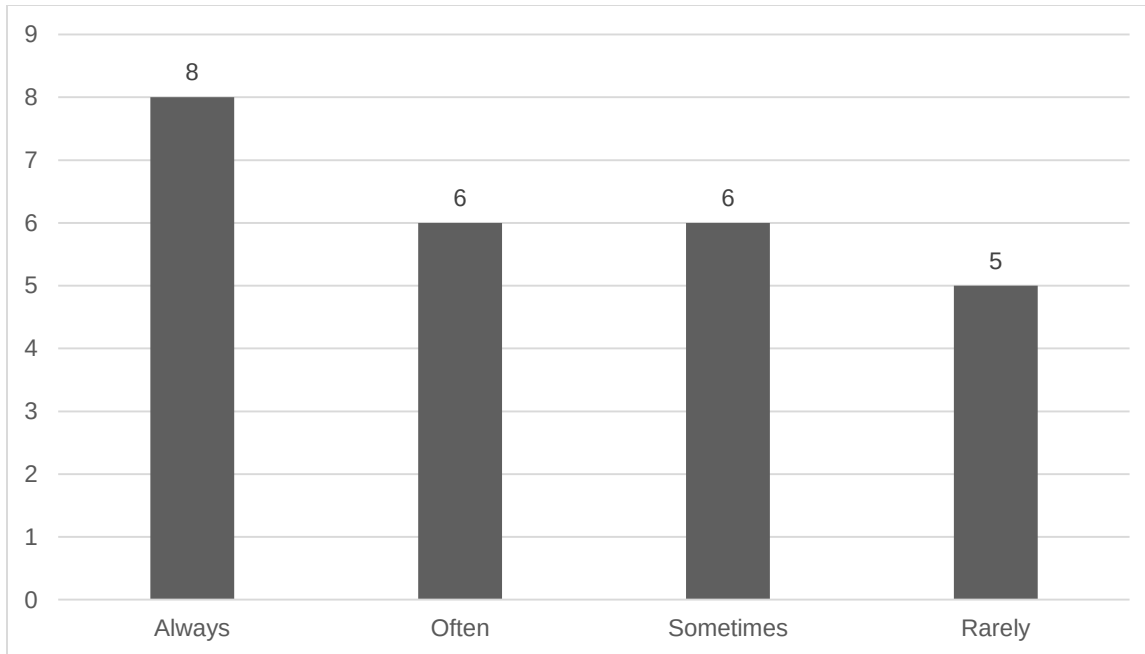


Figure 4.15: Frequency of facing delivery challenges

When asked how frequently do you face challenges due to competition from online stores, 32% of the respondents answered 'always'. Meanwhile, 20% reported that they rarely face such challenges. Additionally, 24% of them indicated they sometimes face competition from online stores. This distribution highlights a significant impact of online competition on a substantial portion of the respondents.

4.5.3 How has the rise of e-commerce affected your in-store sales?

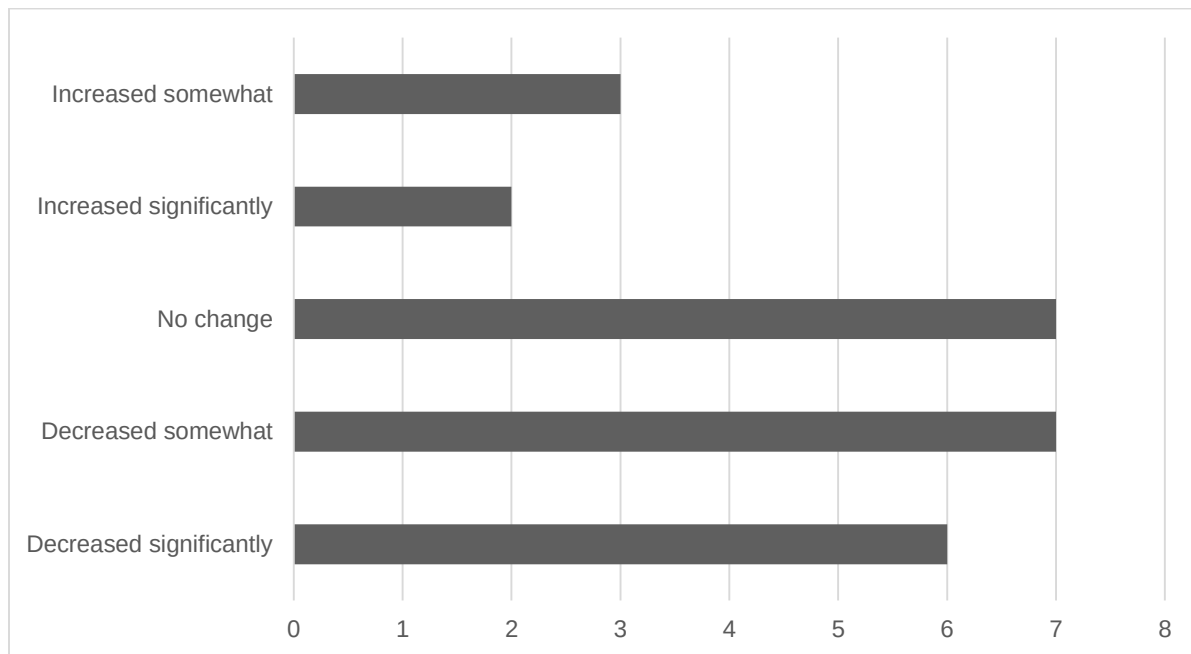


Figure 4.16: Effect due to rise of e-commerce

When asked how the rise of e-commerce has affected their in-store sales, 24% of respondents reported a significant decrease, while 28% experienced a somewhat decreased impact. Another 28% indicated no change in their sales, demonstrating a neutral effect. On the positive side, 12% saw a somewhat increased in-store sales, and 8% reported a significant increase. This variety of responses illustrates the diverse impact of e-commerce on brick-and-mortar businesses.

4.5.4 Do your customers request you for online shopping option?

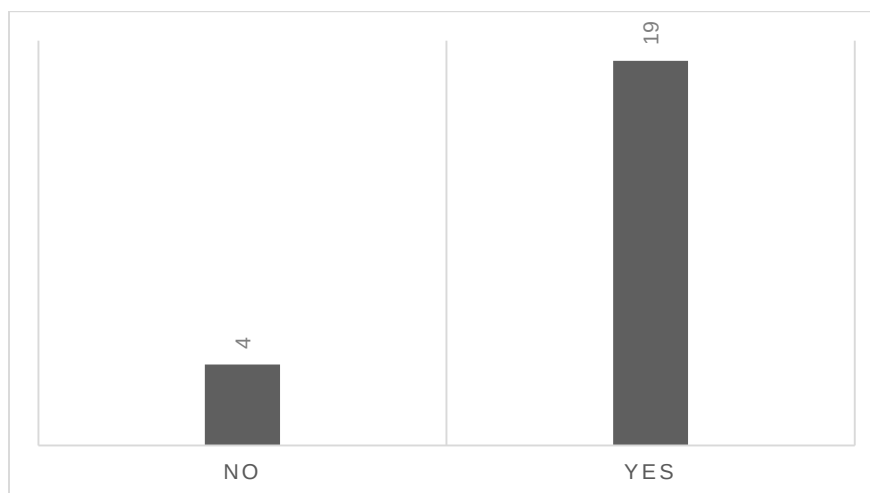


Figure 4.17: customer requesting to go online

When asked if their customers request online shopping options, 79.2% of respondents said yes, while the remaining respondents said no. Above Figure 4.17 clearly describes how today's market is demanding each and every seller to go online.

4.5.5 Do you feel prepared to move to e-commerce?

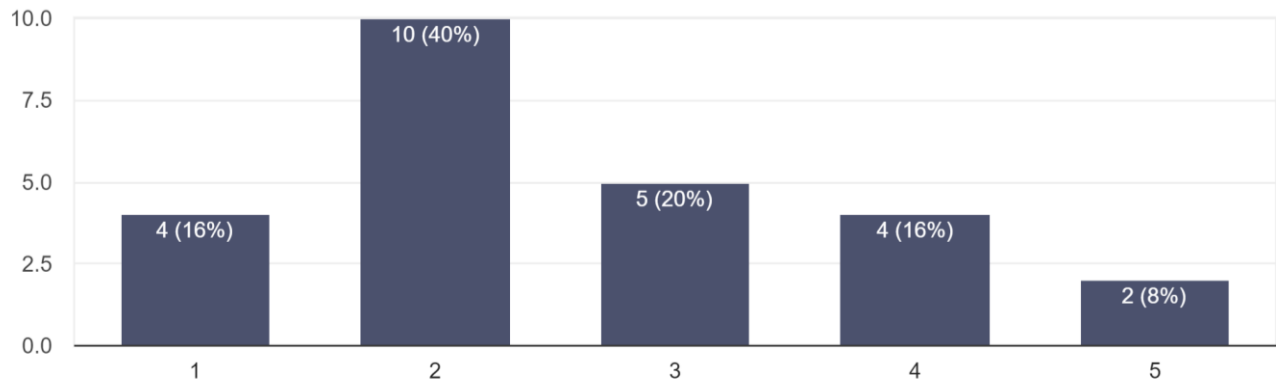


Figure 4.18: Preparedness to move to e-commerce

When asked how prepared they feel to move to e-commerce on a scale of 1 to 5, 4 respondents rated their preparedness as 1, indicating minimal readiness. Ten respondents rated it as 2, showing a slightly higher but still limited level of preparedness. Five respondents chose 3, reflecting a moderate level of readiness. Four respondents rated their preparedness as 4, indicating they feel well-prepared, while 2 respondents rated it as 5, demonstrating full confidence in their readiness to transition to e-commerce.

4.5.6 What kind of support or resources would help you in adopting e-commerce?

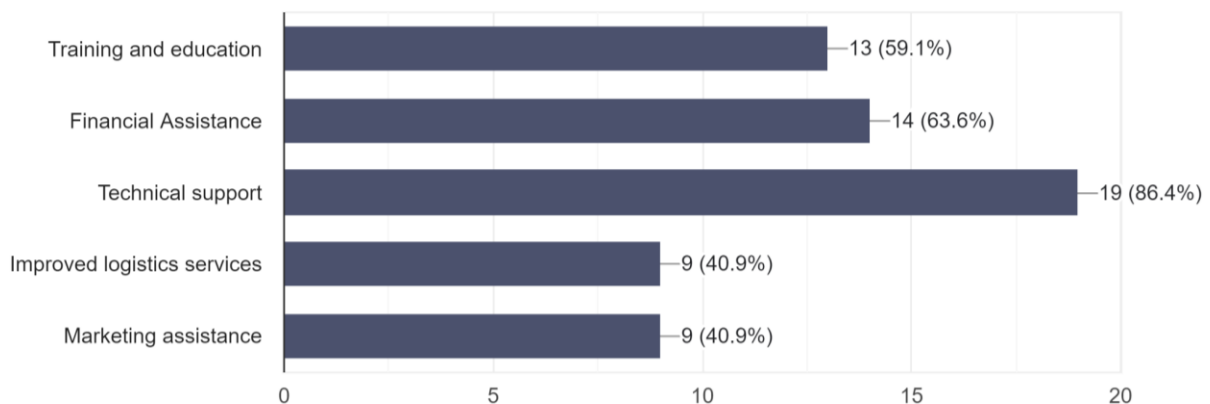


Figure 4.19: Support helping the adoption

When asked what kind of support or resources would help in adopting e-commerce, 13 respondents indicated a need for training and education, 14 cited financial assistance, 19 mentioned technical support, 9 highlighted improved logistics, and another 9 pointed to marketing assistance.

4.6 Findings

The study explored the impact of e-commerce on traditional retail businesses in Nepal, focusing on customer behavior, challenges faced by e-commerce and traditional retailers, and strategies for effective e-commerce integration.

Demographics of Respondents:

The survey included 77 respondents, with 60% males (45 respondents), 37.33% females (28 respondents), and 1.33% others (1 respondent). One respondent preferred not to disclose their gender. Age distribution was as follows:

- 11-20 years: 4%
- 21-30 years: 25.33%
- 31-40 years: 36%
- 41-50 years: 26.67%
- 51-60 years: 8%

Respondent categories:

- Customers: 25
- E-commerce business owners: 25
- Traditional retailers: 25
- Students (did not participate further): 2

Customer Responses:

The frequency of online shopping among customers varied:

- Often: 48%
- Always: 16%
- Sometimes: 28%
- Rarely: 8%
- Never: 0%

Customers expressed a preference for online shopping due to convenience and variety but highlighted concerns such as product quality, delivery times, and payment security.

E-commerce Business Owners' Insights:

E-commerce business owners faced several challenges:

- Delivery challenges: 76% often encountered issues.
- Payment security concerns: 76% faced issues.
- Customer trust issues: 52% agreed they struggle with this.
- Competition with traditional retailers: 60% found it challenging.

Despite these challenges, many e-commerce sellers saw increased sales during the COVID-19 pandemic:

- Some increase: 44%
- Definite increase: 12%

Satisfaction with e-commerce platforms varied, with most rating it as average. Many e-commerce sellers (48%) believe that traditional retailers should also adopt e-commerce.

Traditional Retailers' Perspectives:

Traditional retailers reported declining sales and foot traffic due to the rise of e-commerce. They face challenges in adapting to new technologies and competing with online businesses. However, there is a growing recognition of the need to integrate e-commerce into their operations to remain competitive.

Descriptive Statistics:

Key descriptive statistics included:

- **Customer Trust:** Mean: 3.2, Median: 3 (on a 5-point scale)
- **Delivery Challenges:** Mean: 3.8, Median: 4
- **Payment Security Issues:** Mean: 3.7, Median: 4
- **Satisfaction with E-commerce Platforms:** Mean: 3.0, Median: 3

Overall Findings:

The study highlights a significant shift towards e-commerce among customers, driven partly by the COVID-19 pandemic. E-commerce business owners face challenges related to logistics, payment security, and customer trust, but see potential growth opportunities. Traditional retailers must adopt e-commerce strategies to remain competitive, addressing technological and logistical barriers.

The findings provide a comprehensive view of the current state of e-commerce and traditional retail in Nepal, offering valuable insights for stakeholders aiming to navigate the evolving digital marketplace.

CHAPTER V

Conclusion and Recommendations

5.1 Conclusion

The study examined the growing influence of e-commerce on traditional retail businesses in Nepal, highlighting both the challenges and opportunities presented by this shift. The research involved a diverse group of respondents, including customers, e-commerce business owners, and traditional retailers, providing a comprehensive understanding of the current retail landscape.

Key Insights:

1. Customer Preferences:
 - There is a clear trend towards online shopping among customers, driven by convenience, variety, and the impact of the COVID-19 pandemic.
 - Despite the advantages of e-commerce, customers expressed concerns about product quality, delivery times, and payment security.
2. Challenges for E-commerce Business Owners:
 - E-commerce businesses face significant logistical challenges, particularly in delivery and payment security.
 - Building customer trust remains a crucial issue, impacting the overall success of e-commerce platforms.
 - The COVID-19 pandemic has generally had a positive effect on e-commerce sales, highlighting the resilience and potential of the digital marketplace.
3. Traditional Retailers' Struggles:
 - Traditional retailers are experiencing a decline in foot traffic and sales due to the increasing popularity of online shopping.
 - Many traditional retailers acknowledge the need to adapt to the digital marketplace but face substantial barriers, including technological adaptation and logistical challenges.

Strategic Implications:

- For Traditional Retailers:
 - There is an urgent need for traditional retailers to integrate e-commerce strategies into their operations. This includes leveraging technology, enhancing online payment security, and improving logistical capabilities.
 - Support in the form of resources, training, and policy initiatives is crucial for traditional retailers to successfully transition to the digital age.
- For E-commerce Business Owners:

- Addressing logistical and payment security issues is essential to building customer trust and sustaining growth.
- E-commerce businesses can benefit from sharing best practices and collaborating with traditional retailers to create a more integrated retail ecosystem.

Policy and Stakeholder Recommendations:

- Policymakers and industry stakeholders should develop supportive policies and initiatives to facilitate the integration of e-commerce in traditional retail operations.
- Providing training and resources for traditional retailers to enhance their digital capabilities will be key to ensuring a competitive and resilient retail sector in Nepal.

In conclusion, the study underscores the transformative impact of e-commerce on Nepal's retail sector. It highlights the need for traditional retailers to embrace digital solutions and for e-commerce businesses to address operational challenges to enhance customer satisfaction and trust. The insights from this study offer valuable guidance for stakeholders aiming to navigate and thrive in the evolving digital marketplace.

5.2 Recommendations

Based on the findings of this study, several recommendations can be made to support the sustainable growth and adaptation of traditional retail businesses in Nepal amidst the rise of e-commerce.

For Traditional Retailers:

1. Adopt Digital Strategies:
 - Invest in developing a strong online presence through e-commerce platforms, social media, and digital marketing.
 - Utilize data analytics to understand customer preferences and tailor offerings accordingly.
2. Improve Customer Experience:
 - Enhance in-store experiences to offer unique value that cannot be replicated online, such as personalized customer service and exclusive in-store promotions.
 - Ensure seamless integration of online and offline channels to provide a cohesive shopping experience.
3. Upgrade Technological Infrastructure:
 - Invest in technology to streamline operations, including inventory management, customer relationship management (CRM) systems, and secure online payment gateways.
 - Offer multiple payment options to cater to diverse customer preferences and enhance convenience.
4. Collaborate with E-commerce Platforms:
 - Partner with established e-commerce platforms to expand reach and leverage their logistical capabilities.

- Participate in online marketplaces to increase visibility and access to a broader customer base.
- 5. Provide Training and Development:
 - Equip staff with the necessary skills to operate digital tools and platforms through regular training programs.
 - Stay updated with the latest trends and best practices in e-commerce and digital marketing.

For E-commerce Business Owners:

1. Address Logistical Challenges:
 - Improve last-mile delivery services, especially in remote areas, to enhance reliability and customer satisfaction.
 - Collaborate with local delivery providers to optimize logistics and reduce delivery times.
2. Enhance Payment Security:
 - Implement robust security measures to protect customer data and build trust in online transactions.
 - Educate customers about secure online payment practices to alleviate security concerns.
3. Build Customer Trust:
 - Offer transparent return and refund policies to reassure customers and reduce perceived risks.
 - Engage with customers through personalized communication and responsive customer service.

For Policymakers and Industry Stakeholders:

1. Develop Supportive Policies:
 - Create policies that encourage the integration of e-commerce in traditional retail, including tax incentives and grants for digital transformation initiatives.
 - Address regulatory barriers that hinder the growth of e-commerce, such as complex import/export regulations.
2. Facilitate Access to Resources:
 - Provide access to funding and resources for traditional retailers to invest in technology and digital infrastructure.
 - Establish public-private partnerships to offer training programs and support services for small and medium-sized enterprises (SMEs).
3. Promote Digital Literacy:
 - Launch awareness campaigns to promote the benefits of e-commerce and digital literacy among consumers and businesses.
 - Support educational initiatives that equip the workforce with the skills needed for the digital economy.

For Researchers and Academics:

1. Conduct Further Research:

- Investigate the long-term impact of e-commerce on traditional retail businesses to identify emerging trends and challenges.
- Explore innovative business models and strategies that can facilitate the coexistence of traditional and online retail.

By implementing these recommendations, traditional retail businesses in Nepal can effectively navigate the challenges posed by the rise of e-commerce and leverage the opportunities it presents. This will ensure a resilient and competitive retail sector that can thrive in the digital age.

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APENDICES

Section 1 of 4

E-commerce impact in Nepal

This questionnaire, developed by Sagar Acharya from Ace Institute of Management, aims to gather insights for research purposes on the impact of e-commerce on traditional retail businesses in Nepal. Your participation will help identify the challenges faced by traditional retailers and develop strategies for successful adaptation to the digital marketplace. Your responses are invaluable in understanding the evolving retail landscape and supporting the growth of Nepal's retail sector. Thank you for your time and contribution to this important study.

Your Name

*

Short answer text

Gender

Male
Female
Prefer not to
Others

Age

.....

What is your current status?

*

Customer
Businessma
Businessma

Other...

After section 1

Continue to next section

Section 2 of 4

Questions for Customers

(Skip if you don't belong to this category)

I frequently do online shopping

Strongly agree

Agree

Neutral

Disagree

ngly Disagree

I prefer online shopping compared to shopping at physical stores?

Yes

No

Maybe

Why do you prefer shopping online?

Convenienc

Better Price:

Wider selec

Comparison

Home delive

Other...

What are the difficulties have you faced while shopping online?

Short answer text

--

What would encourage you to shop more from traditional retail stores?

Better price:

product vari
Customer se
Discounts
Better in-sto
Convenient

How has your shopping behaviour changed since covid-19?

Increased o
Decreased o
No change

Do you feel that traditional retail businesses are adequately adopting to the rise of e-commerce?

Yes
No
Maybe

After section 2

Submit form

Section 3 of 4

Questions for Businessmans (E - commerce)

(skip if you don't belong to this category)

What is your business name?

Short answer text

What kinds of products and services does your business provide?

Short answer text

How often do you face delivery challenges?

Always
Often
sometimes
Rarely
Never

Do you deal with online payment security issues?

Yes
No

How satisfied are you with your e-commerce platform?

Very satisfied

- 1
- 2
- 3
- 4
- 5

Very dissatisfied

How has Covid-19 affected your sales?

Increased sales
Increased sales
No change
Decreased sales
Decreased sales

How often do you struggle with customer trust?

Always
Often
Sometimes
Rarely
Never

How hard is it to compete with traditional retailers?

Very challenging

- 1
- 2
- 3
- 4
- 5

Not challenging

Do you think traditional retailers should also move to e-commerce platforms?

Yes
No
Maybe

Give some sort of advice to the traditional retailers? (if any)

Long answer text

--

After section 3

Submit form

Section 4 of 4

Questionnaires for traditional retailers

(skip if you don't belong to this category)

What is your business name?

Short answer text

What kinds of products and services does your business provide?

Short answer text

Who is your main competitor?

Other...

How often do you face challenges due to competition from online stores?

How has the rise of e-commerce affected your in-store sales?

Do your customers request you for online shopping option?

Do you feel prepared to move to e-commerce?

Very prepared

1

2

3

4

5

Very unprepared

What kind of support or resources would help you in adopting e-commerce?

Training and
Financial As
Technical su
Improved lo
Marketing as

Other...

.